STATE OF MICHIGAN

IN THE SUPREME COURT

APPEAL FROM THE MICHIGAN COURT OF APPEALS
WAYNE COUNTY CIRCUIT COURT

JACQUELINE DAVIS,
Plaintiff-Appellant,

v.
BetMGM, LLC,
Defendant-Appellee.

MSC No. _____
COA No. 363116
Trial Ct No. 21-006981-CK

PLAINTIFF-APPELLANT'S REPLY BRIEF

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I.

Perhaps the most striking feature of the brief on the merits that BetMGM has filed in this Court is what is not contained in that brief. BetMGM moved to dismiss Ms. Davis's common-law claims on three grounds: (1) her claims were preempted by LIGA; (2) the circuit court should defer to the Gaming Board under the concept of primary jurisdiction; and (3) Ms. Davis failed to exhaust her administrative remedies.

The circuit court granted BetMGM's motion based on the first of these three arguments. Opinion, at 4-5 (App 189a-190a). That preemption determination was affirmed by a two person majority of the Court of Appeals. Majority Opinion, at 6 (App 210a). And, in this Court's May 29, 2024 order granting leave to appeal, the first issue on which the Court requested briefing was whether Ms. Davis's claims were preempted by LIGA. Order (App 220a).

Despite the prominent role that preemption has played in this case to date, the concept of preemption is noticeably absent from the brief on the merits that BetMGM has filed.

A search of that brief reveals that the word "preempt" in any of its forms appears only six times in that brief and four of these occasions are in the brief's Counter-Statement of Facts recounting prior events in the case.[1]

What is obvious from the brief that BetMGM has filed on the merits is that the defendant would now prefer that the Court to turn away from any concept of preemption. This is perhaps most notable in the fact that BetMGM has offered no defense to the Court of Appeals majority's completely muddled view of preemption that was addressed at some length in Ms. Davis's brief to this Court. Thus, Ms. Davis's critique of the preemption ruling reached by the Court of Appeals majority, see Plaintiff's Brief, at 25-30, stands unrebutted.

BetMGM's current aversion to anything involving the concept of preemption is also reflected in a terminological u-turn that it has attempted to execute. In at least three points in its response to Ms. Davis's application for leave to appeal, BetMGM acknowledged a very important point to any preemption question that might be presented in this case. It conceded in that response that §4(3) of LIGA, MCL 432.304(3), which provides that "[a] law that is inconsistent with this act does not apply to internet gaming . . .", is an express preemption

[1] By contrast, a similar search of the response that BetMGM filed to the application for leave to appeal that Ms. Davis filed in this Court shows that some form of the word "preempt" appeared 34 times.

provision. See Response to Application, at 2, 13, 14, n. 12. But, in the brief that BetMGM most recently filed, this statutory provision is re-characterized as LIGA's "exclusive jurisdiction clause," whatever that means. Def's Brf, at 13, n. 7.[2]

The position that BetMGM has taken in its brief on the merits has to be viewed as a concession that the arguments raised by Ms. Davis as to the Court of Appeals majority's error in applying principles of preemption must be accepted as accurate.

While BetMGM has now consciously moved away from preemption as a basis for dismissing Ms. Davis's claim, it argues that the dismissal of her case should be affirmed either on the ground that exclusive jurisdiction over her case rests with the Gaming Board or, in an argument brand new to this case, LIGA that provides the exclusive remedy for Ms. Davis's claims. Neither of these arguments has any particular merit either.

II.

BetMGM's argument that exclusive jurisdiction vests in the Gaming Board to decide Ms. Davis's claims fails for precisely the same reason as its now discarded preemption argument.

MCL 600.605 provides that the circuit courts have original jurisdiction to determine all civil claims and remedies "except where exclusive jurisdiction is given in the constitution or by statute to some other court . . ." Thus, a circuit court is presumed to have jurisdiction over a civil action unless the constitution or a statute "expressly prohibits it from exercising jurisdiction or gives to another court exclusive jurisdiction over the subject matter of the suit." *O'Connell v Director of Elections*, 316 Mich App 91, 101; 89 NW2d 240 (2016).

The Legislature has also on occasion enacted a statute that entrusts an administrative agency with exclusive and original jurisdiction. See e.g. MCL 205.731 (giving the Michigan Tax Tribunal "exclusive and original jurisdiction" over certain tax matters); MCL 418.841 (providing that "any dispute or controversy concerning compensation or other benefits shall be submitted to" the Bureau of Worker's Compensation). But, in construing such statutes, "retention of jurisdiction is presumed and any intent to divest the circuit court of jurisdiction must be clearly and unambiguously stated." *Winkler v Marist Fathers of Detroit, Inc*, 507 Mich 327, 334; 901

[2] To see the alteration of BetMGM's position, compare the first sentence of footnote 12 of it's response to Ms. Davis's application for leave with that same sentence in footnote 7 of its brief on the merits.

NW2d 566 (2017), quoting *Campbell v St. John Hospital*, 434 Mich 608, 614; 455 NW2d 695 (1990).

But in contrast to such statutes as MCL 205.731 and MCL 418.841, there is nothing in LIGA that provides clear and unambiguous legislative intent to deprive a circuit court of its presumed jurisdiction to decide Ms. Davis's common-law claims. To the contrary, there is a clear indication in §4(3) of that act that other laws – including the common law – may be enforced provided that they are not inconsistent with LIGA.[3]

BetMGM's position that exclusive jurisdiction to resolve Ms. Davis's claims rests with the Gaming Board is also at odds with the Terms of Service that it required Ms. Davis to agree to as a precondition to engaging in internet gaming. In a section of that agreement addressed to "Governing Law," BetMGM required Mr. Davis to "irrevocably agree to submit to the exclusive jurisdiction of the Courts of Michigan for settlement of any disputes on matters arising out of or concerning these agreements or their enforceability." Terms or Service §29 (App 27a). Thus, according to the agreement that Ms. Davis and BetMGM entered into, it was the courts of the State of Michigan, not the Gaming Board, that was vested with exclusive jurisdiction to entertain disputes between them.

III.

The Court must also be aware of a fundamental disconnect in BetMGM's position that exclusive jurisdiction must rest on the Gaming Board to resolve the disputes that Ms. Davis presents here. Ultimately, the judicial deference embodied in any determination that exclusive jurisdiction rests with an administrative agency is based on a recognition of the specialized competence of that agency in its assigned area of expertise. As this Court explained in *Demings v City of Ecorse*, 423 Mich 49; 377 NW2d 275 (1985), in finding that the Michigan Employment

[3] Moreover, even where the Legislature has designated an administrative agency the exclusive jurisdiction to decide certain questions within the scope of its expertise, this Court has recognized that there are practical limitations on this jurisdiction. This is particularly true in cases such as this one, where the claims that the defendant seeks to vest an agency with deciding are premised on the common law. See e.g. *Highland-Howell Dev Co v Marion Twp*, 469 Mich 673, 678; 677 NW2d 810 (2004) ("While the Tax Tribunal's membership is particularly competent to resolve disputes related to . . . taxes, its membership is not qualified to resolve common-law tort or contract claims."); cf. *Demings v City of Ecorse*, 423 Mich 49, 60-61; 377 NW2d 275 (1985).

Relations Commission (MERC) has exclusive jurisdiction to adjudicate public employment unfair labor practice claims, "[a]gency expertise has been a primary justification for exclusive jurisdiction . . ." *Id.*, at 60. And, "where deference is accorded the MERC, it is based on the expertise the agency has developed in the area." *Id.*, at 61. See also *Kent County Deputy Sheriff's Ass'n v Kent County Sheriff*, 463 Mich 353, 359; 616 NW2d 677 (2000) ("MERC alone has the jurisdiction and administrative expertise to entertain and reconcile competing allegations of unfair labor practices . . ."); cf. *Travelers Ins Co v Detroit Edison Co*, 465 Mich 185, 198; 631 NW2d 733 (2001) ("administrative agencies, created by the Legislature, are intended to be repositories of special competence and expertise uniquely equipped to examine the facts and develop public policy within a particular field.").

Thus, the particular competence and expertise of the agency involved is a factor of some significance in determining whether exclusive jurisdiction to decide a particular claim rests with that agency. But what is unique about this particular case is that the agency that is vested with this special competence and expertise has vigorously asserted that it does not have jurisdiction, much less exclusive jurisdiction, to decide Ms. Davis's claims.

The Gaming Commission made its view on this subject very clear in communications to the parties that are part of this record. See (App 116a, 181a, 182a). The Gaming Board has reaffirmed those views in the brief it has filed as an amicus curiae before this Court.

Thus, BetMGM finds itself in the somewhat conflicted position of relying on a legal concept – exclusive agency jurisdiction – that is predicated in part on the special competence and expertise possessed by the administrative agency involved, while the very agency possessing that special competence and expertise maintains that it has no jurisdiction to entertain these claims.

IV.

BetMGM also offers a new argument in support of its position that Ms. Davis's claims should have been dismissed. It now asserts that LIGA provides her exclusive remedy. BetMGM finds support for this argument in the general rule that "where a new right is created or a new duty is imposed by statute, the remedy provided for enforcement of that right by the statute for its violation and nonperformance is exclusive." *Pompey v General Motors Corp*, 385 Mich 537, 552; 189 NW2d 243 (1971). (Def's Brf, at 7, 19). BetMGM apparently finds this language

supportive of its view that LIGA somehow provides the sole remedy available to Ms. Davis on her three common-law claims.

This misreading of this general rule expressed in *Pompey* somehow omits the additional qualification that was added in that case: "Correlatively, a statutory remedy for enforcement of a common-law right is deemed only cumulative." *Pompey*, 385 Mich at 552-553. In other words, while a completely novel statutory remedy may provide a plaintiff's exclusive remedy, the same is not true where, at the time of the statute's enactment, there was a preexisting common-law right. This case fits squarely within this exception to the general rule since it involves the assertion of common-law theories of recovery that predated LIGA by years. Thus, under this general rule which BetMGM appears to endorse, a new statutory right and preexisting common law rights may both be enforced. See *Dep't of Agriculture v Appletree Marketing, LLC*, 485 Mich 1, 14-17; 770 NW2d 237 (2010).

This Court's decision in *Dawe v Dr. Reuven Bar-Levan & Associates, P.C.*, 485 Mich 20; 780 NW2d 272 (2010), provides a good example of how this "general rule" that BetMGM relies on actually operates in the face of a preexisting common-law claim. In *Dawe*, plaintiff sought to pursue a common-law claim, medical malpractice, against her psychiatrist for an injury caused by another patient of her psychiatrist. The defendant in *Dawe* argued that a statute, MCL 330.1946, which provided limited circumstances in which a party could sue a psychiatrist for injuries caused by that psychiatrist's patient, abrogated plaintiff's common law malpractice claims.

This Court in *Dawe* rejected the defendant's argument. The *Dawe* Court recognized that "legislative amendment of the common law is not lightly presumed" and to accomplish such an abrogation "the Legislature 'should speak in no uncertain terms. . .'" 485 Mich at 28. The Court further found in *Dawe* that the statute that defendant relied on "is not so comprehensive as to indicate that it is intended to completely abrogate the common law in this area." *Id.*, at 31.

Dawe demonstrates that a preexisting common-law theory of recovery is not to be displaced by a later enacted legislative remedy scheme unless there is a clear indication that the common-law remedy was being abrogated. Once again, LIGA's §4(3) shows a contrary legislative intent in that it expressly allows for the enforcement of common-law claims that are not inconsistent with its provisions.

This Court's decision in *Pompey* calls for the same conclusion. The Court in that case noted an exception to the "general rule" that BetMGM relies on, a new statutory remedy is to be deemed exclusive "unless a contrary intent clearly appears." 385 Mich at 552, n. 14 (emphasis added). Ea, such a contrary intent is present in LIGA.[4]

In its argument with respect to LIGA providing Ms. Davis's exclusive remedy, BetMGM places particular emphasis on the Court's ruling in *The Lamphere Schools v Lamphere Federation of Teachers*, 400 Mich 104; 252 NW2d 818 (1977). *Lamphere* was a dispute that arose out of a contentious teachers strike in which the school board filed suit against the teachers' union premised on several common-law theories. This Court held in *Lamphere* for a number of different reasons that under §6 of the Public Employment Relations Act (PERA), MCL 423.206, the school board could not proceed on these common-law theories against the teachers' union.

Section 6 of PERA, the statutory provision at issue in *Lamphere*, began with express language that the Court read as displacing other law: "Notwithstanding the provisions of any other law . . ." MCL 423.206(1). From that beginning point, the *Lamphere* proceeded to conclude that "PERA was intended to occupy the public employee labor relations field completely." 400 Mich at 116. The Court also found that there was no precedent supporting the common-law claims being advanced by the school board. *Id.*, at 124-129.

This case differs from *Lamphere* in a number of important respects. Here, there is no express language in LIGA that it was to apply "notwithstanding" the provisions of any other law. Nor can LIGA be classified as "comprehensive" in its field since §4(3) makes clear that it was not meant to disturb claims consistent with its provision. This Court's decision in the unique circumstances of *Lamphere* has no role to play in this case.

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[4] The Court in *Pompey* identified a second exception to the general rule that BetMGM relies on that is relevant to the second question that the Court has posed in its order granting leave to appeal. The *Pompey* Court ruled that a new statutory remedy will not be deemed exclusive where that remedy is found to be inadequate. 385 Mich at 552, n. 14, As addressed in Ms. Davis's first brief, if the defendant were actually correct and LIGA does establish the Gaming Board as plaintiff's exclusive remedy, that remedy must be adequate.

V.

Finally, BetMGM includes in its brief the suggestion that Ms. Davis has no legally cognizable common law claims since, in its view, gaming is illegal outside the statutory schemes allowing for such gaming. Def's Brf, at 8-10, 20. This new attack on the merits of Ms. Davis's common-law claims has no connection to the issues that were decided by the circuit court or the Court of Appeals. Nor is this issue in any way responsive to the two questions that the Court has directed the parties to brief in its May 29, 2024 order granting leave. More importantly, this legal argument has never previously been raised in this case as a basis for disposing of Ms. Davis's claims.

The Court has to decline defendant's invitation to examine this newly raised issue since, like the Supreme Court of the United States, this Court is "a court of review, not of first view." *Arkansas Game and Fish Commission v United States*, 568 U.S. 23, 37 (2012).[5]

RELIEF REQUESTED

For these reasons and for the reasons addressed in her original brief to the Court, plaintiff-appellant, Jacqueline Davis, requests that this Court reverse the Court of Appeals September 28, 2023 decision and remand this case to the Wayne County Circuit Court for further proceedings.

[5] The same is true of another new legal issue that the defendant raises in footnote 16 of its brief on the merits, suggesting that Ms. Davis's cause of action fails because "Michigan law does not permit the assertion of a claim in tort for a matter governed by a contract." This argument might have a sliver of plausibility if one of the common-law claims asserted in this case were negligence, which has duty as one of its essential elements. See *Loweke v Ann Arbor Ceiling & Partition Co*, 489 Mich 157; 809 NW2d 553 (2011). But, since Ms. Davis has not pled a theory of negligence, this footnote should not have been included in defendant's brief.

Dated: March 27, 2025.

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CERTIFICATION PURSUANT TO MCR 7.312(A)

Mark Granzotto, attorney for plaintiff-appellant, hereby certifies pursuant to MCR 7.312(A) that this brief was typed using the Corel Word Perfect word processing program. That program has a function which can calculate the total number of words contained in a document. According to that program function, there are 2,790 allowable words in this brief.

/s/ Mark Granzotto